

Tata Power Company Ltd

Investment Rating : Excellent

Company Overview

Website	https://www.tatapower.com/
Sector	nan
Market Cap	1,647,269.48 Cr
PE Ratio	14.5
PB Ratio	3.48
Dividend Yield	0.49 %

Financial Quality

ROE	11.3
ROCE	11.1
CFO Quality	High Quality
FCF CAGR	nan%
Capital Pattern	Excellent

Capital Allocation

Capital Score	86.0
Reinvestment	Growth Focused
Debt Trend	Increasing Debt
Leverage	High

Business Overview

Tata Power Company Ltd is primarily involved in the business of the generation, transmission and distribution of electricity. It aims to produce electricity completely through renewable sources. It also manufactures solar roofs and plans to build 1 lakh ev charging stations by 2025[1] The company is India's largest vertically-integrated power company.

Strengths

Strong free cash flow generation over 5 years signals healthy business fundamentals.
Revenue growing above 15% CAGR over 5 years reflects strong business momentum.

Risks

Rising debt over the past 3 years suggests increasing financial leverage risk.
Net debt exceeding three times operating profit indicates elevated financial leverage.